

When Does Crypto Tax Apply in India? Understanding Taxable Crypto Transactions

Crypto taxes in India are not as simple as just paying when you sell. Every trade, gift, or even airdrop could bring tax rules into play. Many investors don't realise that tax applies even when they swap one crypto for another. The government sees crypto as a digital asset, and just like stocks or real estate, gains from it are taxable.

Knowing which transactions are taxed—and which ones are not—can help you plan better. Let's look at the key taxable crypto transactions in India, so you don't get caught off guard.

Crypto transactions can be grouped into **3 broad categories**:

1. **Buying, Selling & Trading** – Covers when you **buy, sell, or trade crypto**. Includes profits from selling, frequent trading, and advanced trades like futures/options.
2. **Spending, Sending & Earning Crypto** – Covers spending crypto on purchases, gifting, receiving it as salary, and earning through mining, staking, airdrops, gaming rewards, or lending interest.
3. **Losses & Deductions** – Covers **what happens when you lose money**, like trading losses or getting scammed.

Here's a quick summary of how crypto taxes apply to different transactions in India.

#	Transaction Type	Tax Applicable	TDS Deduction	Example
1	Buying Crypto with INR	No tax	No TDS	Buy Bitcoin for ₹1,00,000 – No tax
2	Selling Crypto for INR	30% on profits (Section 115BBH)	1% TDS (Section 194S) if above ₹10K/₹50K threshold	Sell BTC for ₹1,50,000 (₹50,000 profit) → Pay ₹15,000 tax + ₹1,500 TDS
3	Crypto-to-Crypto Swap	30% on profits	1% TDS on both sides of the trade	Swap ETH (₹50K) for SOL (₹70K) → Pay ₹6,000 tax + 1% TDS
4	Paying for Goods/Services in Crypto	30% on profits	1% TDS	Use BTC (₹1,50,000) to buy a laptop → Pay ₹15,000 tax + 1% TDS
5	Transferring Crypto (Self-Wallets)	No tax	No TDS	Transfer ETH from WazirX to Metamask – No tax

6	Gifting Crypto	No tax for sender, recipient pays tax if >₹50,000	No TDS	Gift ETH (₹60K) to a friend → They pay tax on ₹60K
7	Receiving Crypto as Salary/Payment	Taxed as salary/income (As per slab)	TDS at 10% (Section 194R) if from a business	Get paid 0.1 BTC (₹4L) as salary → Tax as per slab
8	Mining, Staking, Airdrops, Rewards	Taxed as 'Income from Other Sources'	No TDS	Mine 0.05 BTC (₹2L) → Tax as per slab
9	Crypto Trading Losses	Loss cannot be offset against profits	No TDS	Profit ₹50K, loss ₹30K → Still pay ₹15K tax on ₹50K
10	Hacks, Scams, Lost Wallets	No tax relief	No TDS	Lose BTC worth ₹2L in a scam → No tax deduction

Now let's consider the tax rules for each category, one by one.

1. Tax on Buying, Selling & Trading Crypto

First, let's consider all transactions where you acquire, sell, or exchange crypto assets (both spot assets like coins/tokens and derivatives like futures/options) with the intention of making a profit.

These transactions result in **capital gains or business income**, making them taxable under Indian law.

Capital Gains vs. Business Income – What's the Difference?

Crypto profits are usually taxed as **capital gains** if you invest and hold for some time before selling. However, if you trade frequently—such as day trading, futures trading, or engaging in high-volume transactions—your income may be classified as **business income**.

The difference matters because:

- **Capital Gains (30% Tax under Section 115BBH)** – Applies to occasional investors. Losses **cannot** be set off against profits.
- **Business Income (Taxed as per Slab Rate)** – Applies to frequent traders and businesses dealing in crypto. Expenses like trading fees may be deductible.

I—No Tax on Buying Crypto with INR

Tax applies only when you sell or trade.

II—Selling Crypto for INR

1% TDS (Tax Deducted at Source) under Section 194S + **30% tax on profits** under **Section 115BBH**.

Technically, the TDS is applicable only if the transaction exceeds ₹50,000 for individuals and ₹10,000 for others).

Example: You buy [Bitcoin](#) for ₹1,00,000 and sell it for ₹1,50,000. Your profit is ₹50,000.

- You pay ₹15,000 tax (30% of ₹50,000) under Section 115BBH.
- TDS of 1% (₹1,500) is deducted at the time of sale under Section 194S.

Remember, in practice, **most exchanges deduct 1% TDS on every sale, even if you haven't crossed the ₹10,000/₹50,000 threshold**. This is a precautionary measure by exchanges to avoid compliance issues. But don't worry: you can claim a refund when filing your crypto taxes.

Foreign Crypto Exchanges & Taxation

- If you trade on **foreign crypto exchanges**, TDS is **not deducted automatically** as Indian exchanges do.
- You are still required to **manually calculate and deposit the 1% TDS** under Section 194S when selling crypto.
- Failure to do so can result in penalties during tax filing.

Does This Apply to P2P Transactions?

Yes, 1% TDS under Section 194S also applies to P2P transactions. However, in exchange-based sales, the exchange deducts TDS automatically. In P2P trades, the buyer must deduct 1% TDS and deposit it with the government. If this is not done, the seller may still be held liable for non-compliance.

III–Crypto-to-Crypto Trade(Swapping One Crypto for Another)

Swapping crypto means exchanging one cryptocurrency for another without converting it to INR. It is treated as selling one asset and buying another at the current market value.

1% TDS under Section 194S + 30% tax on profits under Section 115BBH.

Example: You buy [Ethereum](#) worth ₹50,000 and swap it for [Solana](#) when its value rises to ₹70,000 and your profit is ₹20,000.

- You must pay ₹6,000 tax (30% of ₹20,000) under Section 115BBH.
- 1% TDS is deducted on the transaction under Section 194S.

P2P Crypto Swaps and TDS

If you swap crypto using a P2P trade (without an exchange facilitating the transaction), you must ensure that **1% TDS is deducted and deposited**. Since exchanges handle this automatically for crypto-to-crypto trades on their platform, P2P traders need to be aware of their compliance obligations.

Tax on Spending, Sending, Earning, Gifting & Receiving Crypto

Whether you **spend crypto for purchases, gift it to someone, or receive it as salary**, crypto taxes may apply.

I–Paying for Goods & Services with Crypto

If you use crypto to buy something, it is treated as **selling crypto** at its market value.

- **30% tax applies on any profit (Section 115BBH), and**
- **1% TDS is deducted (Section 194S).**

Example:

- You buy Bitcoin for ₹1,00,000.
- Its value rises to ₹1,50,000, and you use it to buy a laptop.
- Your **profit is ₹50,000**, so you pay **₹15,000 tax (30%)**, plus **1% TDS on ₹1,50,000**.

II – Sending Crypto to Another Wallet

Transferring crypto between your own wallets is not taxed

III–Gifting Crypto Tax

Gifting crypto is **not taxed for the sender**, but the recipient may have to pay crypto tax if the value exceeds **₹50,000 in a year** (under **Section 56(2)(x)**). However, gifts to **immediate family** (spouse, parents, siblings) are exempt.

Example:

- You gift [Ethereum](#) worth ₹60,000 to a friend.
- Since it **exceeds ₹50,000**, they must pay **income tax on the full ₹60,000** as **“Income from Other Sources.”**

IV–Receiving Crypto as Salary or Payment

If you earn crypto as salary or payment for services, it is taxed as **income under Section 192 or 194R** (depending on the nature of payment). The employer/client must **deduct TDS as per income tax slabs**.

Example:

- Your employer pays you 0.1 BTC when its value is ₹4,00,000.
- This is added to your **taxable salary**, and tax is calculated based on your **income slab**.
- If paid by a business, **TDS at 10% (Section 194R)** may apply.

V – Earning Crypto from Mining, Staking & Rewards

Crypto earned through **mining, staking, airdrops, gaming rewards, or lending interest** is taxed as **income from other sources (Section 56)**.

Double Taxation on Airdrops:

- When you receive an airdrop, its value is taxed as “Income from Other Sources” under Section 56.
- Later, if you sell the airdropped tokens, the profit is taxed again at 30% under Section 115BBH, just like any other crypto sale.
- **This means you pay tax twice:** once when you receive the airdrop and again when you sell it.

Example: You mine **0.05 BTC** when its value is **₹2,00,000**.

- This amount is **added to your taxable income**, and tax applies based on your slab.
- If earned through a business setup, **GST may apply**.

Staking Rewards Taxation

- Staking rewards are taxed **at the time they are received**, not when they are sold.
- Even if the rewards are **locked** or **cannot be immediately withdrawn**, they are considered **taxable income** based on their market value at the time of receipt.
- When you later **sell these rewards**, any further gain will be taxed again as **capital gains (30% tax + 1% TDS, if applicable)**.

GST on Crypto Transactions (for Businesses and Traders)

- If a business accepts crypto payments, **GST may apply on transactions**, similar to other goods/services.
- Also, **crypto exchanges** operating in India may be liable to **18% GST on transaction fees**, which affects traders indirectly.

3. Tax on Losses & Deductions

In India, crypto losses **cannot** be used to reduce taxable income. This means that if you lose money while trading, you **still owe tax on profits**, but you **cannot deduct losses to lower your tax bill**.

I—Trading Losses

Losses from one crypto trade **cannot** be set off against profits from another. Each trade is taxed separately.

Example:

- You make **₹50,000 profit** on one trade (taxable at 30%).
- You lose **₹30,000** on another trade.
- You still **pay 30% tax on the ₹50,000 profit (₹15,000)**, even though you had a loss.

II—Losses from Hacks, Scams, or Forgotten Wallets

If you lose crypto due to **hacks, scams, or losing access to your wallet**, there is **no tax relief**. Unlike stocks, where losses can sometimes be written off, crypto losses **do not reduce your taxable income**.

Example:

- You buy Bitcoin for **₹2,00,000** but lose access to your wallet.
- This loss **cannot be claimed** as a deduction or offset against future gains.